Treatment of Property of Institutionalized Spouses and Their Community Spouses and Long-Term Care (LTC) Insurance Property Exemption	Number	Page
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Revision Date:
05/01/2019

Background:
This section explains the treatment of property for institutionalized spouses and their community spouses effective January 1, 1990 as part of the Medicare Catastrophic Coverage Act, and the property exemption for individuals with State-certified LTC Insurance policies effective July 1, 1994. In addition to the reformatting, this section has been updated to include policy implemented by the Affordable Care Act (ACA), effective January 1, 2014.

Purpose:
This section explains the treatment of property for institutionalized spouses and their community spouses.

Policy:
A. Definitions
Institutionalized Spouse
A person who has been admitted to a nursing facility or medical institution on or after 9-30-89 and applies for Medi-Cal on or after 1-1-90, and is not a member of a CalWORKs Assistance Unit, and is expected to remain in LTC for at least 30 days. The ACA expanded the definition of institutionalized spouse to include Home and Community-Based Services (HCBS) recipients and persons who have requested HCBS, who generally reside at home or in the community. MPG 05.18.01

Community Spouse
The spouse of an institutionalized individual who is not in long-term care and living in the home.

Community Spouse Resource Allowance (CSRA)
The amount of countable property the community spouse is allowed to retain when the institutionalized spouse applies for medical benefits. This may include the combined net market values of the non-exempt community and separate property belongings to either or both the institutionalized and community spouses. CSRA is issued through ACWDL annually.

Note: Refer to MPG 09.07, for treatment of property transferred by an institutionalized individual for less than fair market value.

Procedures:
None

Program Impacts:
None

References:
MEPM Article 9
ACWDL 90-01, 17-25, 18-19

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Sunset Date:
This policy will be reviewed for continuance by 05/31/2022

Approval for Release:



Rick Wanne, Director
Eligibility Operations

Revision Date:
05/01/2019

Background:
Effective January 1, 1990, the community spouse is allowed to retain only the Community Spouse Resource Allowance (CSRA). This section has been reformatted, no other changes have been made.

Purpose:
This section provides and overview of CSRA.

Policy:
A. Maximum CSRA
Any property considered to be part of the CSRA must be in the name of the community spouse. The maximum CSRA is the greatest of the chart value or:

- The amount granted through fair hearing. Fair hearings may be requested by either spouse.
- An amount established by a court order for the support of the community spouse and family members. If a court order for support is sought by the community spouse and verification is provided, an application may be pending for more than 45 or 60 days, if necessary.

For a current listing of CSRA, see Appendix II-1-A.

B. Computation of the CSRA
The couple's net market value of the non-exempt community and separate property is combined and totaled as of the date of application for Medi-Cal. That total will be compared to the maximum CSRA. If the total is less than or equal to the maximum CSRA, then the CSRA shall be that amount. If the total is more than the maximum CSRA, then the CSRA shall be the maximum CSRA, and the amount of excess shall be included in the property reserve of the institutionalized spouse.

After the CSRA has been determined, new non-exempt property acquired by the community spouse and held in his/her name only is not to be considered available to the institutionalized spouse.

C. Release From Long-Term Care (LTC)
If an institutionalized spouse is released from a long-term care facility for at least 24-hours, and then, re-enters LTC, a new CSRA shall be determined for the community spouse, at the time of re-entry.

Procedures:
D. CSRA Example
Mr. and Mrs. Harvest had $102,580 when Mr. Harvest had a stroke and was hospitalized. Mr. Harvest was transferred to a nursing facility on 10-15-89. Of the $102,580, $52,580 was Mrs. Harvest's inheritance from the death of her parents. She has maintained this amount separately for 20 years.

Mrs. Harvest is applying for Medi-Cal for Mr. Harvest on 3-1-90, and Mr. Harvest has spent $38,000. Is Mr. Harvest "property" eligible?

Answer: Mr. Harvest is eligible.
All property available on 3-1-90 is combined:

$52,580	(Mrs. Harvest's inheritance)
+ 12,000	(Amount remaining after $38,000 spent)
$ 64,580	
- 62,580	(Maximum CSRA for 1990)
- 2,000	(Property limit for 1)
$ -0-	(Excess Property)

Mr. Harvest is eligible and has 90 days to remove his name from $10,000. ($52,580 is already in Mrs. Harvest's name.

Program Impacts:
None

References:
MEPM Article 9
ACWDL 90-01

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Background:
When the couple's property reaches the maximum CSRA plus $2,000 (property limit for one), eligibility may be established for the institutionalized spouse. A transfer period will be allowed from the date of the approval action being taken through the end of the month in which 90 days have elapsed. This transfer period may be extended through the end of the month in which a court enters an order necessary to accomplish such transfers. In addition to the reformatting, this section has been updated to include policy implemented by the Affordable Care Act (ACA).

Purpose:
This section provides and overview of the transfer period for property of an institutionalized spouse.

Policy:
A. Transfer period
Any property considered to be part of the CSRA must be in the name of the community spouse. During the transfer period, property included in the CSRA is not to be considered available to the institutionalized spouse.

When SI provisions for an institutionalized spouse are used in determining Medi-Cal retroactively, the CSRA transfer periods may extend several years (Desk Aid 95). Request verifications only for the applicable application date, which is the first month the SI provisions apply, unless the countable property exceeds the CSRA plus $2,000. If excess property, inform the individual regarding spend-down and determine which month the property is under the CSRA plus $2,000 and request verifications for that month. On the approval NOA, write the end date of the CSRA transfer period.

At the end of the transfer period, the net market value of all property remaining in the name of the institutionalized spouse or both of the spouses is to be considered 100% available to the institutionalized spouse and included in the property reserve.

B. Undue Hardship
Eligibility cannot be denied if there is excess property and undue hardship. Undue hardship exists when:

- Except for such excess property, the institutionalized spouse is otherwise eligible, and
- He/She is unable to obtain medical care without Medi-Cal, and
- The community spouse's whereabouts are unknown, or
- There has been a break in marital ties and the community spouse refuses to cooperate

C. Exceptions to Regular Medical Property Inclusions
Jewelry, regardless of its value, is exempt. The provision applies only to institutionalized and community spouses.

D. Property Assessment
A community spouse or institutionalized spouse or their representatives may request a property assessment, even if the institutionalized spouse is not applying for Medi-Cal. Explain that if not

applying for Medi-Cal at the same time that the assessment is being completed, that the amounts shown on the property assessment may change when they apply for Medi-Cal.
The individuals are eligible for a property assessment, only if one of the spouses:

- Is institutionalized on or after September 30, 1989, and
- The other spouse does not reside in a nursing facility or medical institution receiving a nursing level of care, and
- The individual has verifications of the values of all real and personal property, liquid and non-liquid assets at the time of the appointment

Assessment Interview
The assessment interview will be completed within 45 days from the date that the Medi-Cal Property Assessment Application (MC 176 PA-A) is signed, and all of the following have been received:

- The Property Assessment Statement of Facts (MC 210 PA)
- Relevant verifications
- The Medi-Cal application, if appropriate

If verification is not provided by the assessment applicant, use the information provided on the MC 210 PA and document on the Property Worksheet/Assessment (MC 176 PA) that verification of value was not provided.

- Explain the following:
  a. Medi-Cal General Property Limitations for all Medi-Cal applicants (MC Information Notice 007)
  b. How to reduce excess property
- Copies of the forms will be provided to each spouse and/or their representatives. Image the originals in the case and narrate in the case comments the date of the property assessment, and the date of entry into LTC.

Procedures:
None

Program Impacts:
None

References:
MEPM Article 9
ACWDL 90-01, 90-03, 18-19
50490.7 & SDHS Clarification

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5-6-19

Rick Wanne, Director
Eligibility Operations

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05/01/2019

Background:
Effective July 1, 1994 individuals with State-certified LTC insurance policies are eligible for an exemption of property equal to the amount of benefits paid under such a policy. This section has been reformatted, no other changes have been made.

Purpose:
This section provides and overview of LTC Property Exemptions.

Policy:
A. Qualifications
To qualify for State-certified LTC insurance policies exemption, the applicant/beneficiary will provide verification listing the amount of qualifying benefits that has been paid to-date.

B. Examples

1. An LTC individual applies for Medi-Cal on 1/16/96. The total value of his non-exempt property is $49,900. The individual provides verification of $48,000 paid for LTC services under his LTC insurance policy with State-certified ABC Insurance Company.

   $49,900.00 (non-exempt property)
   -48,000.00 (qualified LTC property exemption)
   $ 1,900.00 (net value toward property reserve)

   This LTC applicant's countable non-exempt property is within the property limit for one person.

2. Generally, an individual with an LTC insurance policy, which provides coverage for a minimum of one year and a maximum of five years, will not apply for Medi-Cal until the policy benefits are exhausted. However, in some instances, an individual may require acute hospitalization or some other services not covered by his/her insurance policy and will apply early. In these cases, the individual will receive an exemption equal to the benefits amount that has been paid to the date of application and they have to spenddown other excess property, if any, before eligibility may be established

3. When an LTC person is eligible for Medi-Cal and is also covered by an LTC insurance policy, an appropriate Other Health Coverage (OHC) code for the LTC insurance carrier has to be entered on the case record to assure that Medi-Cal is not paying for services for which the insurance carrier is liable. Refer to MPG 15.01 for instructions on adding an OHC code. Adding the OHC code is not required for a beneficiary who has an indemnity policy; however, the per diem payments to the beneficiary are considered income and included in the computation of share-of-cost.

4. If a beneficiary happens to acquire additional property after establishing eligibility for Medi-Cal such as proceeds from the sale of his/her former residence, lotto winnings, inheritance, etc.,

the amount of additional benefits paid under the State-certified insurance policy should be verified to determine how much of the newly acquired non-exempt property can be exempted.

Procedures:
None

Program Impacts:
None

References:
MEPM Article 9
ACWDL 94-26, 94-82

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